EXECUTIVE SUMMARY

I. Introduction

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree. Baggao is considered as first (1st) class municipality in the Province of Cagayan, politically subdivided into forty-eight (48) barangays.

It occupies the second biggest land area in the Province of Cagayan. It lies approximately within 17 deg 55 min 12 sec North latitude and 121 deg 58 min 12 sec East longitude. It is bounded on the east by the Pacific Ocean; on the south by the Municipality of Peñablanca; on the north by the Municipality of Gattaran and on the west by the Municipality of Alcala and Amulung. The Municipality is located approximately 57 kilometers from Tuguegarao City, the commercial center of the Province.

The Municipality has become famous as a hunting ground. Old folks recount that the IBANAGS who frequently hunted in the locale, used to wash their catching in a big mud hole before taking them home which they called "ABBAGAOAN". This "abbaggaoan" an ybanag word, meaning a place to wash, became a noted landmark for hunters from which the name of the Municipality eventually originated.

The Municipality of Baggao derives its mandate from Republic Act No. 7160, also known as the Local Government Code of 1991.

Pursuant to Section 16 of Republic Act No. 7160, also known as the Local Government Code of 1991, the Municipality of Baggao, as a Local Government Unit, shall ensure and support, among other things, the preservation and enrichment of culture, promote health and safety, enhance the right of the people to a balance ecology, encourage and support the development of appropriate and self-reliant scientific and technological capabilities, improve public morals, enhance economic prosperity and social justice, promote full employment among its residents, maintain peace and order, and preserve the comfort and convenience of its inhabitants.

II. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and

whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase (Decrease)
Financial Condition			
Total Assets	1,413,692,795.05	1,290,774,154.07	122,918,640.98
Total Liabilities	188,445,572.90	172,357,648.64	16,087,924.26
Total Government Equity	1,225,247,222.15	1,118,416,505.43	106,830,716.72
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	503,776,163.44	600,802,423.25	(97,026,259.81)
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	434,933,348.69	394,037,240.17	40,896,108.52
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	691,714,968.03	728,545,835.67	(36,830,867.64)
Appropriations-Continuing	361,777,431.46	152,483,253.69	209,294,177.77
Allotments – Current	668,036,968.03	728,545,835.67	(60,508,867.64)
Allotments –Continuing	361,777,431.46	152,483,253.69	209,294,177.77
Obligations – Current	456,641,661.53	349,653,932.45	106,987,729.08
Obligations –Continuing	198,999,168.43	65,524,243.18	133,474,925.25
Funds Received from Other Agencies			
NGAs	13,087,863.70	19,431,500.00	(6,343,636.30)
GOCCs			
LGUs	300,000.00	-	300,000.00
NGO/POs			-
Others			
Total	**13,387,863.70**	**19,431,500.00**	(6,043,636.30)
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P -**	**P -**	**P -**

IV. Operational Highlights

The Municipality of Baggao is headed by the Municipal Mayor, Honorable Leonardo C. Pattung, and Vice-Mayor, Honorable Rowel B. Gazmen and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	5
Permanent Employees	193
Temporary Employees	3
Casual Employees	93
Job order Employees	206

In addition, the Municipality of Baggao had accomplished 43.95 percent significant and developmental projects in Calendar Year 2023, with a total cost of P105,193,532.60.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2023 because these are materially misstated by an aggregate amount of P44,751,646.22 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Baggao disclosed misstatements totaling P44,751,646.22 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Other PPE	P12,110,368.99			P12,110,368.99
PPE	2,575,811.95			2,575,811.95
CIP	13,417,685.21			13,417,685.21
Due from NGAs		P13,968,205.82		13,968,205.82
Due to NGAs		1,782,152.26		1,782,152.26
Due to LGUs		107,390.00		107,390.00
Due to BIR		790,031.99		790,031.99
Total	**P28,103,866.15**	**P16,647,780.07**	**0.00**	**P44,751,646.22**

VI. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. The balance of Due from National Government Agencies (NGAS) account in the amount of P0.713 million have remained outstanding for 5 years now.

   We recommended the Management to:

   a. instruct the Municipal Accountant to reconcile with CVMC records for the remaining balance of the Due from NGAS account relative to the Point of Care sponsored program, to present fairly the said account in the FS pursuant to Paragraph 27 of IPSAS;

   b. cause the formal termination of the agreement to recover the receivable balance transferred to CVMC to generate additional funds to LGU for the delivery of basic services to constituents; and

   c. moving forward, refrain from making advance payment for services not yet rendered or for supplies and materials not yet delivered under any contract pursuant to Section 88 of PD 1445 to safeguard funds against loss or wastage unless specifically allowed by law, rules, and regulations.

2. Inter-agency payables arising from the funds withheld and obligated for the payment of taxes, premiums, contributions, and loan amortizations to Bureau of Internal Revenue (BIR), Home Mutual Development Fund (HDMF), Government Service Insurance System (GSIS) and Philippine Health Insurance Corporation (PHIC), totaling to P1.818 million remained unreconciled as of December 31, 2023, which may cause misstatements in the affected inter-agency payable accounts in the financial statements, and possibly give rise to forfeiture of claims/benefits of members and imposition of penalties and interests.

   We recommended the Management to:

   a. instruct the Municipal Accountant to prepare adjusting entry to correct the balance of Due to BIR due to error in posting;

   b. identify the nature and cause/s of the unreconciled balances and record adjusting entries, when necessary, to present fairly the balances of Due to BIR, Due to GSIS, Due to Pag-IBIG and Due to PhilHealth accounts in the financial statements; and

c. undertake continuous regular reconciliation of the balances of Inter-Agency Payable accounts to the actual remittances and cause the immediate settlement of the identified unremitted amounts to avoid forfeiture of claims/benefits of employees and further avoid penalties caused by non-remittance of withheld and appropriated funds.

3. Performance Bond and Retention Fees from suppliers and contractors amounting to P0.792 million and P5.692 million, respectively, were not yet returned and remained outstanding for more than 2 years despite completion of the projects; thus, the reliability of the balances of the Bail Bonds and Guaranty/Security Deposit Payables cannot be ascertained because these may no longer represent valid claims against the LGU.

   We recommended the Management to send written notices to the concerned suppliers and contractors to inform them on their unclaimed performance bonds and retention monies recorded in the books of the LGU to establish the validity, existence, and correctness of the recorded payable accounts.

   We further recommended that Management, upon determination that the concerned suppliers/contractors are no longer interested in their respective claims, instruct the Municipal Accountant to prepare adjusting entries to revert back to the unappropriated surplus these long outstanding payables, pursuant to Section 98 of PD 1445 and Paragraph 27 of IPSAS 1 to establish reliability of the accounts balances presented in the financial statements.

4. Certificate of Final Acceptance was issued by the Municipal Engineer immediately after the completion of projects, without observing the one-year defects liability period.

   We recommended that the Management cease from the practice of immediately issuing the Certificate of Final Acceptance prior to the lapse of the defect's liability period or one year from the project completion date to ensure possible recourse for the LGU in cases of uncorrected defects and to protect Government's resources and property against loss or wastage, in compliance with 62.2 of the 2016 Revised IRR of RA 9184.

5. Purchased of the Lot totaling P72.091 million were not included in the Annual Procurement Plan (APP) of the Agency.

   We recommended that Management, moving forward, ensure that no procurement shall be undertaken unless it is included in the APP pursuant to Section 7 of the Revised IRR of RA 9184 to foster meticulous and judicious procurement planning and also to facilitate monitoring and evaluation of the procurements of the LGU.

VII. Summary of total Suspensions, Disallowances and Charges

For the year 2023, the summary of total suspensions, disallowances, and charges shows a beginning balance of zero across all categories, with no new suspensions, disallowances, or charges issued. As a result, the ending balance for each category remained zero.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report is summarized as follows:

Implemented		17
Not Implemented	1	
Not Implemented and restated in Part II of this report	2	3
TOTAL		**20**